

HEDGEYE DAILY DIGEST

September 2, 2026 · Reader timezone GMT+8

Covering Hedgeye's most recent publishing session — Tuesday, September 1, 2026 (EDT) — with Monday, August 31, 2026 summarized beneath. Dates grouped GMT+8.

Global #Quad3 stagflation is now a global bond story, not a US one. Keith McCullough opened September arguing that with the UK 10yr Gilt +18bps on the day and JGB yields at 30-year highs, the “bond yields breaking out” narrative is confirmation of Hedgeye’s long-standing Global #Quad3 Nowcast rather than news. The actionable shift: with yields pressing the top of their Risk Ranges, cover some of the core short-duration book (TLT, ZROZ, LQD, JOJO, XLU) and buy more Gold — while Hedgeye’s ETF Pro added Gold Miners (GDX) to the long side for the first time.

TODAY’S PUBLICATIONS · Tuesday, September 1, 2026 (EDT)

EARLY LOOK — “Global #Quad3 In Q3 Continues”

Keith McCullough · 09/01/26 07:50 AM EDT

McCullough framed the morning around Jeff Hawkins’ Thousand Brains Theory of Intelligence — “normal vision is an active sensory motor process, not a static process” — as an argument against the Old Wall’s static chart-reading. His point: a market price only becomes meaningful inside a multi-factor, multi-duration fractal view, and the **USA Quad Count is necessary but not sufficient**.

The core macro claim is that the bond selloff is **global**, not American. The **UK 10yr Gilt rose +18 basis points** on the day and **JGB yields hit 30-year highs**, which he read as confirmation of a true **Global #Quad3** bond yield story. This is not a new call — Hedgeye’s **G20 GIP Quad Model** has carried the sequence for months: Global **#Quad1 Goldilocks** ended pre-war in **Q1 2026**; Global **#Quad3 Stagflation** was the aggregate G20 Quad in **Q2 2026**; Global **#Quad3** remains the **Q3 2026** Nowcast, with potential **#Quad2 in Q4**.

He tied this directly to the damage being done to **60/40 “pie chart” allocations**, which are absorbing stagflation, war and tariff effects simultaneously.

The incremental action with yields ramping toward the top end of their Risk Ranges was explicit: **cover-SOME** of the core shorts — **TLT, ZROZ, LQD, JOJO and XLU** (roughly half his macro short book) — **buy MORE Gold**, and consider **Gold Miners (GDX)**, which he had not yet bought because he does not chase and waits for corrections. His framing on Gold: “Historically, Gold LOVES #Quad3.”

Risk Range™ Signals — 09/01/26

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.67-4.81	Bullish
High Yield (HYG)	79.49-79.99	Bullish
Investment Grade Corporate Bonds (LQD)	105.4-106.8	Bearish
S&P 500 (SPX)	7627-7748	Bullish
NASDAQ Composite (COMPQ)	25877-26601	Bullish

Asset	Risk Range	TREND
Russell 2000 (RUT)	2940-3034	Bullish
Health Care Select Sector (XLV)	168-177	Bullish
S&P 500 Equal Weight (RSP)	218.00-223.00	Bullish
Expanded Tech-Software (IGV)	104.00-113.00	Bullish
Shanghai Composite (SSEC)	3880-4008	Neutral
Nikkei 225 (NIKK)	64890-66772	Bullish
German DAX (DAX)	25878-26601	Bullish
Volatility Index (VIX)	14.03-16.28	Bearish
U.S. Dollar Index (USD)	98.70-99.84	Bearish
WTI Crude Oil (WTIC)	82.23-89.53	Bullish
Natural Gas (NATGAS)	2.73-3.01	Neutral
Gold Spot (GOLD)	4351-4724	Bullish
Copper Spot (COPPER)	6.44-6.71	Bullish
Silver Spot (SILVER)	64-69	Bullish

Investment implication: Stay positioned for stagflation — short duration and rate-sensitives, long real assets — but respect the range and take profits into yield spikes rather than pressing shorts at the top end.

MOMO TRACKER

Christian Drake / Ryan Ricci · 09/01/26 08:19 AM EDT

The headline read **Mag7 (-0.2%)**, **High Beta Momo (-1.6%)**, **SNDK = BULLISH**, **positive dealer gamma**, and a **VIX top-of-range (TRR) of 16.28**. The signal is a mega-cap tape that is flat while the high-beta momentum complex bleeds — the same factor-level damage discussed on The Macro Show. **SanDisk (SNDK)** flipped to BULLISH on the back of its MSCI index addition. The tracker itself is a chart-and-data dashboard; narrative detail sits in the accompanying charts rather than in text.

THE MACRO SHOW — SUMMARY NOTES

Keith McCullough & HAM PM Brooks Cutright · 09/01/26 10:29 AM EDT

Rates remain the lead hedge. Keith said at least **five of his top ten macro shorts are fixed-income ETFs**, naming **TLT**, **ZROZ** and investment-grade credit, with **Utilities (XLU)** as the equity expression of the rate-sensitive short. Global yields are ripping to new cycle highs as oil reflation amplifies the **G20 Quad 3 / Quad 2** setup.

Gold: buy the dip, don't chase the miners. He told viewers not to panic and to “just buy gold,” noting **Gold is his biggest asset allocation**. Near-term pressure came from higher rates and a higher dollar — “Dollar Up, Rates Up, Gold Down” is the machine's correlation. **Gold Miners (GDX)** were on the “buy menu on sale” but not yet owned in family accounts.

Market structure stays investable. The **VIX range of 14.03-16.28** is nowhere near **19**, and dealer gamma remains **positive**, so the playbook is buy weakness, fade strength. The **S&P 500 has printed three days of lower highs**, which he read as consolidation rather than a bearish breakdown.

Sector leadership: software and health care. Hedgeye is **long software, not semis** — a call that worked as **IGV** rose in a down tape. **Health Care (XLV)** and software are the two strongest sector styles on signal strength, while **August was punishing** for anyone long Utilities and not long Health Care.

Energy via OIH, not XLE. Energy was the best sector; Hedgeye owns **Oil Services (OIH)** rather than XLE. Top family performers included **OIH, ENZL, IGV, IPAY, ICOP and SRUUF**. On credit, with the Quad path running **3-1-1-2-2**, Quads 1 and 2 support an expanding profit cycle and therefore **HYG**.

Factor pain is severe. High-beta momentum has round-tripped to the **August lows** — “a disaster for hedge funds” — and Brooks noted the damage is happening with the index only **~2% off all-time highs**.

Single names: Amazon (AMZN) long (sell some up days, buy some down days); **Alphabet (GOOGL)** bearish TREND and not a place to be long; **Tesla (TSLA)** a good short setup after being pinned into “gargantuan” zero-day call leverage.

Asia / semis: KOSPI remains below the immediate-term TRADE level near **6,912**, so Hedgeye is **not buying semiconductors** and is instead hunting short expressions in South Korean semis, including **KORU** and DRAM-linked products.

Europe: long **Spain (EWP)** and adding more; **Germany, Greece and France** are candidates, with France framed around a possible political shift into a **Quad 1** setup.

Commodities and crypto: Gold and Copper both bullish TREND — buy dips including miners. **Silver** was retesting TREND but carries too much whipsaw to press. **Bitcoin and Ethereum** were flagged as a good day to buy while correcting from bullish TREND.

Index mechanics: Brooks explained that **Monday was the MSCI quarterly effective date**, forcing index-tracking rebalances at the close. **SanDisk, Carpenter Technology and Allegheny/ATI** were added — SanDisk’s long announcement-to-implementation window created front-running and violent flow-driven moves into the close, with reversion toward fair value the thing to watch.

CAPITAL ALLOCATION PRO — DAILY DASHBOARD

Robert McGroarty / Andrew Nanai / David Salem · 09/01/26 08:40 AM EDT

Model Portfolio changes went into effect using **closing prices on Monday, August 31, 2026**. **TREND and TAIL levels for all 68 ETFs** were refreshed using **Friday, August 28** closing prices, on the standard 3-4 week cycle. Coverage was rebalanced by ticker substitution: **BNO (Brent)** and **USO (WTI)** added; **MBB (mortgage-backed)** and **PFF (preferred)** removed — a coverage shift that itself leans into the commodity-reflation theme and away from rate-sensitive income.

DIGITAL ASSETS POSITION MONITOR — UPGRADES

Josh Steiner / Christian Drake / Matthew Cooper · 09/01/26 07:57 AM EDT

A clean set of upgrades: **BTC, ETH and SOL moved to Best Idea Long**. On the other side, **TRON (TRX)** and **BLSH (Bullish)** were moved **from Best Idea Short to the Short Bench** — a de-escalation of conviction on the short side rather than a reversal.

ETF PRO PLUS — 4 NEW CHANGES

09/01/26 10:35 AM EDT

Adding Long: Gold Miners (GDX) and Turkey (TUR). Removing Long: Dividend Yield (VYM) at 162.0-167.0 and Short Corporate Bond (VCSH) at 78.3-78.81. The GDX addition is notable — it is the product-level expression of the Gold Miners call Keith had been discussing but not yet buying personally. **Turkey** matches the buy-list mention from the prior session.

SIGNAL STRENGTH STOCKS — 72 STOCKS (1 ADDED, 8 REMOVED)

09/01/26 11:17 AM EDT

The list shrank from **79 to 72**. **Added: NEM** (Newmont — consistent with the Gold Miners theme). **Removed: SYF, AFRM, CSX, EMR, OMF, BLMN, FWONK, DELL** — a heavy skew toward consumer finance (**SYF, AFRM, OMF**), industrials/transport (CSX, EMR) and consumer discretionary (**BLMN**). The breadth deterioration under a flat index is consistent with the high-beta momentum damage flagged on the show.

BITCOIN TREND TRACKER — CRYPTO QUANT

09/01/26 08:11 AM EDT

BTC -1.1% overnight, but **August closed +25%**. Headline callouts: **tokenized equities moving to the LSE** in partnership with **Kraken/Payward**, and “FOMO Momo” in the flows. The publication is dashboard-driven (ETF flows, on-chain, GIP Crypto Quad Quant), so narrative detail is limited to the header.

YESTERDAY'S PUBLICATIONS · Monday, August 31, 2026 (EDT)

EARLY LOOK — “Fed Hawkish In #Quad3”

Keith McCullough · 08/31/26 07:43 AM EDT

What: The last Macro Monday of summer, framed around Dave Portnoy's Cancel Me If You Can and the parallel of building direct, middleman-free audience businesses.

Why: Rising **Fed rate hike expectations** drove **Dollar Up, Rates Up** into month-end, reinforcing the **#Quad3** rate setup — short-term yields rising, curve flattening, rate-sensitives under pressure.

Who: Keith McCullough; references to the Treasury Secretary and the Fed's Jackson Hole cohort; the **Bank of Korea** tightening into a **#Quad4 Slowdown**.

Key numbers: **USD Index +0.9%** on the week, moving to **Bullish TRADE, Bearish TREND**. **Gold -3.2%** on the inverse dollar correlation but held **Bullish TRADE** and **TREND**. **Yen -0.6%**, back to **Neutral TREND**. **UST 2yr +12bps; UST 10yr -1bp; yield curve compressed -12bps**. Commodity reflation ex-oil: **Copper +1.1% w/w, +4.7% m/m; Corn +5.5% w/w, +11.7% m/m; Cocoa +10.2% w/w, +18.3% m/m**. **EUR/USD -0.5%** (bought more), **CAD -0.8%** (bought), **KRW +1.0% w/w, +6.5% m/m**. **XLU -6.1%** over the month. Risk Ranges included **UST10Y 4.63-4.74, SPX 7625-7749, VIX 14.06-16.46, Gold 4378-4703, Silver 65-70**.

Takeaway: The curve steepener (**IVOL**) was sold before it got hit — that trade belongs to a less hawkish Fed. Stay short rate-sensitives, keep the anti-dollar longs (Gold, EUR, CAD), and own the commodity reflation.

THE MACRO SHOW — SUMMARY NOTES

Keith McCullough & Daryl Jones · 08/31/26 10:33 AM EDT

What: Full session on rates, oil reflation, position changes and global quads.

Why: Both ends of the Treasury curve were bullish TRADE and TREND on yield into Jackson Hole, with **August CPI expected to print more hawkish**. Oil's "Alpha Code" is **83/83** — once **WTI cleared \$83 it popped over 3%**, which Keith argued was causal, not coincidental, and feeds directly into yields and a potential **Quad 2** inflation reacceleration.

Who: Positions named — long **OIH, SRUUF** (physical uranium, bought on sale Friday), **WOOD** (lumber), **HYG, XLV, MSFT** (a pivot from short to long), **AAPL, AMZN, EWP, EUR, FXC, AAAU, SLV, ICOP, BTC, ETH**; short **TLT, ZROZ, XLU; KWEB** and **FXI** bearish.

Key numbers: **XLU -3.7%** in August. **KOSPI Alpha Code 69/72** — TRADE ~**6,910**, TREND ~**7,200**. **Wheat and cocoa up 10-12%** the prior week. Quad Count pending at **3-1-2**, **VIX under 19** keeping equity vol in the investable bucket.

Takeaway: Hedgeye **sold its broadening trade** (health care-led beta) as SPY printed lower highs, **covered the USD short**, and was **stopped out of the yen long** — while adding to Gold, CAD and EUR. **China back to bullish TRADE but not owned**; **Turkey on the buy list**; **Australia not shorted despite Quad 4**.

CAPITAL ALLOCATION PRO — MODEL PORTFOLIO CHANGES

Effective 8/31/2026 · 08/31/26 12:21 PM EDT

What: Formal Model Portfolio changes across all four portfolios, effective at Monday's close.

Why: Routine repositioning alongside the **3-4 week TREND/TAIL refresh** for the **68-ETF** universe using **Friday, August 28** closes.

Who: Robert McGroarty, Andrew Nanai and David Salem (Hedgeye Asset Management).

Key numbers: All four portfolios dated **08/31/26** (a displayed 08/19/26 date was flagged as an error). Ticker coverage: **+BNO, +USO; -MBB, -PFF**.

Takeaway: The dashboard's own coverage universe is rotating toward crude oil benchmarks and away from rate-sensitive fixed income — a structural echo of the **#Quad3** positioning.

MOMO TRACKER

08/31/26 07:57 AM EDT

What: **Mag7 (+0.6%), SNDK back to NEUTRAL**, "calm, consolidation and **Day 2 of lower highs**."

Why: A quiet tape with narrowing highs — the setup Keith described as consolidation rather than breakdown while VIX stayed low.

Takeaway: Consolidation, not distribution — as long as VIX holds under **19** and dealer gamma stays positive.

SIGNAL STRENGTH STOCKS — 79 STOCKS

Two publications · 08/31/26 09:18 AM & 11:34 AM EDT

What: A morning list of **79 stocks (0 added, 0 removed)**, followed by an updated **79 stocks (7 added, 7 removed)**.

Key numbers: Added: **SPGI, FCFS, CACC, MCO, GTBIF, FIVN, BRCB** — heavy on ratings/data (**SPGI, MCO**) and specialty consumer finance (**FCFS, CACC**).

Takeaway: Breadth was stable at **79** on Monday before deteriorating to **72** on Tuesday, marking Tuesday as the day the momentum damage showed up in the screen.

ETF PRO PLUS — 1 NEW CHANGE

08/31/26 10:34 AM EDT

What: Removing Short: EM Infrastructure (EMIF) at 25.21-26.44.

Takeaway: EMIF broke TRADE/TREND on the short side — cover if short. A single, low-conviction housekeeping change.

BITCOIN TREND TRACKER — CRYPTO QUANT

08/31/26 06:36 AM EDT

What: BTC +1.3%, ETF inflows +\$1.66B week-over-week, Solana's 2x disinflation proposal passed, and buybacks at \$640M YTD.

Takeaway: Flows and supply mechanics both improving into the Digital Assets position-monitor upgrades that landed the following morning.